

MTC Cost Optimization Plan - Presentation Summary

Company Overview:

MTC, based in Collegeville, PA, is facing a 2.3% excise tax on medical device revenue, cutting into 10% of its profits. To mitigate this impact, a cost-saving strategy is proposed across three phases.

1. Sales Force Efficiency:

- **Proposal:** Reduce 2% of the sales force.
 - **Objective:** Control SG&A costs, which have outgrown revenue, without sacrificing sales performance.
 - **Impact:** Stabilizes the workforce and improves inventory management.
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2. Supply Chain & Inventory Management:

- **Smart Kiosks:**
Improve reverse logistics by tracking returned products and reintegrating them into inventory.
 - **Cost Reduction:**
Decrease raw material use, excess production, and cut transportation/warehousing costs.
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3. Mobile App Development:

- **Outsourced Development:**
Enhance communication with medical professionals, improve inventory control.
 - **Cost Estimate:**
\$100K to \$500K, funded through federal grants.
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4. Acquisition & Tax Inversion:

- **Target:** Kuros Bio Surgery (Switzerland, 18% tax rate), with a strong presence in biomaterials and spine care.
 - **Tax Inversion Strategy:**
Explore acquisitions in low-tax regions (e.g., Ireland at 12.5%) to reduce overall tax burdens.
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5. Financial Impact Summary:

- **Cost Savings:**
 - 4.5% from supply chain optimizations.
 - 3% from sales force reductions.
 - \$19M net profit from acquisitions.
- **Risk Assessment:**
Low risk for logistics and sales adjustments; medium risk for acquisitions.

6. Implementation Timeline:

- **Short-Term:** Sales force reassignment and mobile app deployment.
- **Mid-Term:** Close loaner offices, further streamline logistics.
- **Long-Term:** Implement smart kiosks, finalize acquisitions, and secure tax inversion benefits.

Conclusion:

MTC's cost-saving plan is designed to offset the 2.3% excise tax by focusing on sustainable, long-term growth. This multi-phase strategy includes targeted cost reductions, supply chain enhancements, and strategic acquisitions to ensure financial stability and future expansion